in the banking system is unlikely to be very effective other than for some bank loans that may be linked to the repo rate.

● PRONAB SEN
The fact is that the RBI has already raised the key rates while holding down the repo and reverse repo rates. The variable reverse repo (and SDF) rates have now become the operative rates rather than the reverse repo. This is showing up in the sharp increase in yields on government bonds.

● AJIT RANADE
The RBI is between a rock and a hard place. This is because, on the one hand, due to the threat of a serious slowdown, the RBI cannot make interest rates go higher, but, on the other hand, to fight inflation, it cannot keep interest rates too low. It has managed the monetary policy quite deftly and also taken care of financial stability so far. Since it has several levers to control, such as the repo rate, the reverse repo rate, the SDF and other macro-prudential measures, it will have to really stretch itself to find that optimal balance of monetary policy that promotes growth vs. fighting inflation. It must also now worry about causing worsening inequality due to stock markets. Much of the liquidity has gone into stocks and housing, causing those prices to soar, but that tends to benefit people in the higher income bracket which means wealth inequality is worsening.

Q. What key measures should the Centre take to boost growth and provide more jobs?

● ADITI NAYAR
Accelerating capex both at the central and state levels with an early kick-off of the Rs 1 trillion interest-free loan could quickly boost growth and jobs.

● JAHANGIR AZIZ
There are many things that the government should have done and can still do. For example, overhauling India's health system. This is an area that can create far more jobs than manufacturing, which has become capital-heavy and largely automated. More importantly, the biggest source of employment in India remains its SMEs. So far, the only programme the government seems to have focused on is providing contingent credit guarantees to SME bank loans. That's just a roundabout way to extend regulatory forbearance to banks. There needs to be direct cash transfers to SMEs for reopening, expansion and new investment. Why not extend the production-linked incentives (PLI) to SMEs? Without such help, it is hard for SMEs to recover and start generating jobs.

> **"The Centre has kept its focus on overall macro-economic growth; this is important not only for good fiscal health, but also job creation"**
> – NEELKANTH MISHRA

● NEELKANTH MISHRA
The Centre has kept its focus on overall macroeconomic growth: this is important not only for good fiscal health but also job creation. The Centre does not have the granular execution system that states have. Working through the latter, therefore, is the most prudent way forward. Ease of doing business should also remain a focus area, as India has a long way to go in expanding its share of global manufacturing. The government can also consider government-to-government contracts to streamline labour flow to economies like Europe and Japan, that are seeing demographic pressures and shrinking workforces.

● PRONAB SEN
The focus must be on reconstructing the MSME sector quickly. Some steps have already been taken, but the pace has to be accelerated.

● AJIT RANADE
Since Ukraine and the pandemic are external factors, there is limited scope on how to tackle the impact. Oil and other supply chain whiplash effects are causing high inflation. If India can maintain its fantastic performance of exports for the next few years, it would be a big boost to industrial growth and SMEs. India has to try harder to capture the lost ground in labour-intensive exports, plus participate aggressively in supply chains. The proactive approach to signing an FTA with Australia and soon perhaps, with the UK and EU, is a good sign. India must remain an open economy even as it pursues Aatmanirbhar Bharat. ■